What GSAM Actually Is

How Goldman's asset management business differs structurally from the textbook model, the fee architecture one level below where you are, and why a school uniform shop is a better analogy than you realised.

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PART I

What GSAM actually is

1 The textbook model you are comparing against

You described the standard shape correctly: clients, investors, and the operations that support them. That is the classic asset manager, and it looks like this:

- Raise money from clients
- Invest it, mostly in public markets
- Charge an annual percentage of it
- Compete on performance and price
- **The firm has no capital of its own at risk.** It is a pure agent.
- Distribution is a cost of doing business
- Scale economics, and relentless fee compression over time

That describes most of the industry. **It does not describe Goldman, and the differences are the answer to your question.**

2 The six ways GSAM is structurally different

The standard model	Goldman
Standalone, or owned by an insurer	**1 · It sits inside an investment bank.** This is the root difference and the other five come from it. The other half of the firm originates private deals, finances institutional investors and advises corporates — and the asset management business can draw on all three.
Buys what the market offers	**2 · Origination.** Private credit, real estate and infrastructure deals have to be *sourced* — you cannot buy them on an exchange. A pure asset manager has to buy into someone else's deal. Goldman's banking relationships generate them.
Public markets led	**3 · Alternatives led.** Alternatives were **$491bn, up 26%** in a year, against a stated target of $750bn by 2030 and fundraising running at roughly $150bn a year. The growth story is private capital, not fund flows.
Never had its own capital in the game	**4 · It is converting a principal business into a fee business.** See section 3 — this is the most distinctive thing about it and almost nobody applying will know.
Sells products	**5 · It also sells the function.** OCIO assets under supervision were **$480bn** as at 31 March 2026. A traditional manager sells you a fund; Goldman will also run your entire investment office.
One channel, usually	**6 · Three channels at scale.** Institutional $1,245bn, wealth management $1,087bn, third-party distributed $714bn. Very few firms have an institutional business and a trillion-dollar private wealth business attached to each other.

Figures from Goldman's Form 10-Q for the period ended 30 September 2026 and the Q3 2026 release, except the OCIO and fundraising numbers which are from company and trade sources.

3 The most distinctive thing, and the one to actually use

> Goldman used to invest **its own money** in alternatives. The strategy for years has been to replace that with **clients' money**, and charge a fee on it instead.

You can watch it happening in the accounts. The "Investments" line is gains and losses on the firm's own capital:

Asset & Wealth Management, Investments line	Net revenues
Q3 2025	$342m
Q3 2026	**$50m**

Deliberately shrunk. Meanwhile management and other fees hit a record **$3,587m** in the quarter, up 22% year on year.

WHY THIS IS THE SINGLE BEST "WHY GSAM" POINT AVAILABLE TO YOU

Most asset managers never had a principal investing business, so they have nothing to convert. **Goldman is turning decades of investing its own balance sheet into a business that invests other people's money for a fee.**

And the reason is not that fees are bigger than investment gains — often they are not. It is that **fees are durable and investment gains are not.** A good year on the balance sheet is a good year. A mandate is fifteen years of revenue.

Which is *exactly your own insight about episodic versus durable*, operating at the level of the firm's whole strategy rather than at the level of a division. That is a very strong thing to be able to say.

4 What GSAM is not — and the trap to avoid

DO NOT SAY "THE BIGGEST"

At roughly **$4.1tn** of total assets under supervision, Goldman is large but it is not the largest — BlackRock and Vanguard are materially bigger, and several others are comparable. **"The biggest asset manager" is both wrong and a banned phrase.**

The honest positioning is better anyway: **not the biggest, but among the broadest**, and one of very few with origination capability attached to the investment business.

Two other honest qualifications worth holding, because being able to state them is what makes the rest credible:

- **It is less profitable than the markets business.** AWM returned 14.4% on equity over nine months against 23.5% for Global Banking & Markets. The firm invests here for durability, not margin.

- **A large chunk of the headline number is low-fee.** Of the $4.1tn, **$1,051bn is liquidity products** — money market funds and deposits. Enormous, sticky, and earning a fraction of what alternatives earn. **The $3.0tn of long-term assets is the number that matters**, which is why the division's own description says "over $3 trillion" rather than four.

PART II

The fee architecture

5 The four revenue types, and only two are really asset management

Line	Q3 2026	What it actually is
Management and other fees	$3,587m	A percentage of client assets, charged every year. **The core. Predictable, recurring, compounding.**
Incentive fees	$587m	Performance fees, mostly from private funds, often paid only when investments are sold and cash is returned. **Lumpy by design** — this quarter's rise was driven by fund distributions.
Private banking and lending	$827m	Net interest income on wealthy clients' deposits and loans. **This is a bank business, not an asset management one.**
Investments	$50m	Gains and losses on the firm's own capital. Being deliberately shrunk — see section 3.

6 One level below where you are: rate, duration, durability

You have episodic versus durable, which is the right first cut. Here is the sharper version, and it is the frame that will make your answer sound like someone who has thought about the economics rather than read a summary.

Fee revenue has **three** dimensions, not one.
Rate — how much per pound. **Duration** — how many years you collect it.
Durability — the chance it is still there next year.

Most people only think about the first. **You have already intuited the third — that is your retention point.** The missing one is duration, and it is where the interesting differences sit.

Type of mandate	Rate	Duration and durability
Liquidity / money market	Very low	Can leave tomorrow, but rarely does. Sticky by habit rather than by contract.
A fund sold through a platform	Medium	**Least durable.** Daily dealing means the money can go next week, and in a bad run it will. This is why the third-party channel is both the fastest growing and the most fragile.
Segregated institutional mandate	Medium	**Very durable.** Switching means a search, a committee, a consultant and an admission that the last decision was wrong. Inertia works for you.
Closed-end private fund	Highest	**The most durable of all — contractually.** The client has committed capital for a defined term and *cannot leave*. Fees are often charged on committed rather than invested capital.

THE POINT ALMOST NOBODY MAKES

Everyone says Goldman is pushing alternatives because the fee *rate* is higher. True, and incomplete.

The other half is that private markets fees have the longest duration and the highest durability of anything in the business, because the capital is locked up. You are not just earning more per pound — you are earning it for a contractually defined number of years, with no possibility of the client leaving in a bad quarter.

So the alternatives push is a *duration* strategy as much as a margin strategy. Say that and you have gone a level below everyone else in the room.

7 The frame that ties it all together

An asset management business is **a book of annuities.** Sales writes them. Retention determines how long they last. The value of the book is the number written, times the rate, times the expected life.

Which gives you a precise way to say what you find interesting, and it is better than "I like relationships":

- **Sales determines how many annuities get written.**
- **Retention determines the average life of each one**, and because the fee compounds, a small improvement in average life is worth more than it sounds.
- **And both are the same activity** — being the counterparty who makes a difficult decision easier to make and easier to defend. The first time, and every time after.

> **THE PROOF, IN GOLDMAN'S OWN NUMBERS**
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> In the nine months to September 2026, assets under supervision grew **$491bn**. Of that, **$400bn was net client inflows** and only **$91bn was market appreciation**. In the third quarter alone, inflows were **+$83bn** while markets took **−$27bn** off.
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> **Markets fell and the business still grew.** That is the entire case for why the client-facing function exists, in one statistic, and it is from the firm's own filing.

PART III

Your answer

8 Your shop story is better than you think

You said "school uniform store" this time rather than clothing shop, and the detail matters enormously. Here is why.

A SCHOOL UNIFORM SHOP IS LITERALLY AN ANNUITY BUSINESS

The purchase is mandatory and it repeats. Children grow. Parents have to come back, every year, for as long as the child is at that school.

So the customer never decides whether to buy — only where. Which means the entire competition is on service and relationship, because the demand is fixed.

And the customer has a long, knowable life. A family with two children at one school is a customer for a decade or more.

That is a far closer match to institutional asset management than generic retail. **Both are businesses where the money comes back on a schedule and the only question is whose hands it comes back into.**

And then the detail you gave almost in passing, which is the strongest part of the whole story:

> You said: **"next year they come and they want to be served by me."**

Think about what that actually describes. **The relationship attached to you, not to the shop.** The customer was not loyal to the business; they were loyal to the person who had been useful to them.

That is precisely the dynamic in institutional coverage, and it is why asset managers worry so much about turnover in client-facing roles: **when a coverage person leaves, clients sometimes follow**, because the trust was personal. It is also why tenure in these seats is valued far more than in most finance jobs.

HOW TO SAY IT WITHOUT IT SOUNDING TWEE

Keep it to one or two sentences, and build in the scale caveat so you are not claiming the two are equivalent.

"It's obviously a completely different scale, but the shape was the same — parents had to come back every year whether they liked it or not, so the only thing you were competing on was whether they wanted to deal with you. And the bit I actually found satisfying was that the following September they'd ask for me rather than just come in."

9 The structure: the funnel

Saad's advice is right — this question wants a funnel, not a list. Four levels, narrowing.



Figure 1 — Each level narrows. Do not spend more than 25 seconds on any of the first three.

10 The full answer

About 110 seconds. Highlighted phrases are doing specific work.

LEVEL 1 — WHY ASSET MANAGEMENT, ~25 SECONDS

Thanks for watching this. What pulled me towards asset management rather than the markets or banking side is the shape of the revenue and what that does to the job. Banking and trading are episodic — a deal happens, you get paid, and in January you start again at zero. Asset management is an annuity. You win a mandate and it pays you every year for a decade. Which means the job isn't really about winning, it's about not losing — and I find retention a more interesting problem than acquisition, because keeping something for ten years through a bad patch is harder than winning it once with a good pitch.

LEVEL 2 — WHY GOLDMAN, ~27 SECONDS

And Goldman specifically because of where the capability comes from. Most asset managers have to buy into deals somebody else originated. Here the other half of the firm is originating private credit and infrastructure and real estate, so the investment capability is partly manufactured in-house — alternatives are up twenty-six per cent to a record four hundred and ninety-one billion.

And there's something I found genuinely interesting in the accounts, which is that Goldman used to invest its own balance sheet in alternatives and has been deliberately replacing that with client money and a fee. The investments line is down from three hundred and forty million to about fifty in a year. So the whole firm is making the same episodic-to-durable trade I've just described, at strategy level.

LEVEL 3 — WHY CLIENT SOLUTIONS, ~25 SECONDS

And Client Solutions because it's the function that actually writes and keeps those annuities. There's one number that makes the case better than I can — in the first nine months of this year assets under supervision grew by four hundred and ninety-one billion dollars, and four hundred of that was client inflows rather than markets. In the third quarter markets actually fell and the business still grew. So the thing driving this business is clients choosing to come and choosing to stay, and that's what this seat does.

LEVEL 4 — WHY ME, ~30 SECONDS

And it's work I've already done a version of. At Pictet I rebuilt how we handled due diligence questionnaires — around four hundred questions, answers owned by about twenty teams — and that document is exactly what a client uses to justify an allocation to their own board. So the job was translating between investment people and someone who has to defend a decision.

And honestly the thing that made me interested in this in the first place was much smaller. I worked in a school uniform shop, where parents have to come back every year whether they like it or not — so the only thing you're competing on is whether they want to deal with you. The bit I found satisfying was that the next September they'd ask for me rather than just come in. Which is a completely different scale, but it's the same thing: the money comes back on a schedule, and the only question is whose hands it comes back into.

11 On wanting to sell something you actually understand

You said you want a sales role where you have deep knowledge of the product. That instinct is right and it is worth knowing *why* it is right here specifically, because it is not true of every sales job.

> In institutional asset management **you cannot sell without understanding the product, because your buyer is a professional.** A trustee or a CIO has seen hundreds of pitches and will know within two questions whether you understand what you are selling.

Which has two consequences worth saying:

- **The product knowledge is the credibility.** In some sales roles charm substitutes for substance. Here it actively works against you — polish past a certain point looks like it is doing work the substance cannot.
- **But you are not the investor, and pretending to be is fatal.** The skill is knowing enough to be credible, to ask the right question, and to know exactly when to bring in the person who actually runs the portfolio. Claiming more than that is the fastest way to be found out.

IF THEY ASK WHY SALES SPECIFICALLY

"Partly because it's a sales job where you can't get away with not understanding what you're selling — the person on the other side is a professional who's seen hundreds of pitches, so the product knowledge is the credibility. And partly because I'd rather be selling something where the relationship is the thing being bought rather than a route to the sale. You can't create the moment a client decides to look — you can only have done enough beforehand that you're on the list when they do."

12 Follow-ups

They ask	You say
"How big is GSAM?"	"About four point one trillion of assets under supervision, though the number that matters is the three trillion of long-term assets — the rest is liquidity products at a much lower fee. **And it's not the largest**, BlackRock and Vanguard are bigger. The positioning is breadth and origination rather than scale."
"Is it the most profitable division?"	Be honest. "No — about fourteen per cent return on equity over nine months against more like twenty-three in markets. The firm invests here for durability rather than margin, because recurring revenue earns a higher multiple."
"Why are they pushing alternatives?"	The level-below answer. "Higher fee rate, obviously. But also the longest duration — committed capital is locked up, often with fees on committed rather than invested capital, so you're earning more per pound *and* earning it for a contractually defined number of years."
"What's the difference between GSAM and a traditional manager?"	"Origination, mostly. A standalone manager has to buy into deals somebody else sourced. And the fact that it's converting a principal investing business into a fee business, which most managers never had to begin with."
"What's the risk to the business?"	Good answer available. "Consolidation. Clients are getting fewer and bigger — the DC megafund rules push toward twenty-five billion minimums — which means more fee leverage on their side and enough scale that some of them start doing it in-house."

> **THE FOUR THINGS TO CARRY**
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> **1.** An asset management business is a book of annuities; sales writes them and retention sets their length.
> **2.** Goldman is converting principal investing into fee revenue — the same episodic-to-durable trade, at firm level.
> **3.** $400bn of $491bn was inflows, not markets.
> **4.** The alternatives push is a duration strategy as much as a margin one.
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> Any two of those, said once, puts you well ahead of the field.

Sourcing. Primary, from Goldman's Q3 2026 earnings release and the Form 10-Q for the period ended 30 September 2026, which I read directly: management and other fees of $3,587m, incentive fees of $587m, private banking and lending of $827m, Investments of $50m against $342m a year earlier; total assets under supervision of $4,097bn of which $1,051bn is liquidity products and $3,046bn long-term; alternatives of $491bn up 26%; channel split of $1,245bn institutional, $1,087bn wealth, $714bn third-party; nine-month growth of $491bn comprising $400bn inflows and $91bn market appreciation, and the Q3 split of +$83bn against −$27bn; returns on average common equity of 14.4% and 23.5% for the nine months. Medium confidence: the $480bn OCIO figure, the $750bn alternatives target and the roughly $150bn fundraising run-rate come from company and trade sources rather than the filings. The comparison against the textbook asset management model, the rate–duration–durability framing and the book-of-annuities frame are my construction; the fee-duration point about committed capital reflects standard private fund economics. Competitor scale (BlackRock, Vanguard being larger) is well established but I have not verified current figures — say "larger" rather than quoting one.